

Who Owns the World's Money?

Global Governance and the Making of Cross-Border Payment Policies

In February 2022, millions of people woke up to discover that money — something they had earned, saved, and relied upon — had effectively been frozen. The United States government, along with its Western allies, disconnected Russia from the SWIFT international payments network and seized hundreds of billions of dollars in Russian foreign exchange reserves. For international students living in Russia, the consequences were immediate and devastating: rental payments could not be made, savings became inaccessible, and daily life ground to a halt. This episode was not merely a geopolitical crisis. It was a stark reminder of a question that rarely makes it onto the agenda of global governance courses: who, exactly, owns the world's money? And who gets to decide how it moves across borders?

Two Concepts, One Problem

To make sense of how cross-border payment governance works — and why it so often fails the powerless — it is useful to draw on two distinct analytical frameworks. The first, offered by Dingwerth and Pattberg (2006), treats “global governance” as a perspective on world politics: a lens that moves beyond the state-centric logic of traditional international relations to examine the full constellation of actors, norms, and authority structures that shape political outcomes at the global level. On this view, global governance is not merely what states do together; it is the sum of all mechanisms — formal and informal, public and private — through which collective problems are managed across borders (Dingwerth & Pattberg, 2006, p. 185).

The second framework, developed by Pouliot and Thérien, is more grounded and empirical. Rather than asking what global governance is conceptually, they ask how global policies are actually made — through what practices, by whom, and in whose interest. Their comparative analysis of three UN-centred policy processes identifies ten recurring trends in global policymaking, among them the enduring centrality of sovereignty, the resilience of the North–South cleavage, the rise of expert authority, and the persistence of Western hegemony (Pouliot & Thérien, 2023, p. 174). The difference between these two frameworks is subtle but consequential: where Dingwerth and Pattberg invite us to map the architecture of authority, Pouliot and Thérien ask us to follow the actors and watch what they actually do.

Applying the Lenses to Cross-Border Payments

Applied to the governance of cross-border payments, these two frameworks illuminate different but complementary dimensions of the same problem. From a global governance perspective, one would begin by mapping the authority structures that govern international payments: the Bank for International Settlements (BIS), the International Monetary Fund, the Financial Stability Board, the SWIFT network, and the US Federal Reserve, whose decisions on dollar liquidity affect every economy on earth. This lens reveals that the governance of cross-border payments is not primarily intergovernmental. It is deeply technocratic, largely private, and structurally biased toward the interests of advanced economies. The dollar's dominance as the world's reserve currency is not a natural fact; it is a governance arrangement that systematically advantages the United States, allowing it to weaponize payment infrastructure as a tool of foreign policy — as the Russia-Ukraine episode made unmistakably clear.

A “making of global policies” perspective, by contrast, would focus on the practices and negotiations through which payment governance evolves. It would trace how the BIS

Innovation Hub was established, which central banks sit on its steering committees, and whose technological standards get embedded into new cross-border payment architectures. It would examine the normative debates inside G20 working groups over whether the internationalization of the Chinese renminbi represents a legitimate diversification or a geopolitical challenge. And it would ask why, despite widespread dissatisfaction with the current system, the Bretton Woods institutions have proven so resistant to reform — an outcome that Pouliot and Thérien’s framework would attribute to the interplay of sovereignty, North–South dynamics, and Western hegemony (Pouliot & Thérien, 2023, p. 199).

Observing Change: Method Matters

How one observes change in cross-border payment governance depends substantially on which framework one adopts. The global governance lens directs attention to shifts in authority structures: the declining share of dollar-denominated trade invoicing, the rise of bilateral currency swap agreements between China and its trading partners, the gradual emergence of BRICS-adjacent payment mechanisms, and the proliferation of central bank digital currencies (CBDCs). These developments suggest an ideological drift away from what might be called the American Payments Interface — a system conceived at Bretton Woods and continuously reinforced through institutional lock-in. Indian External Affairs Minister S. Jaishankar captured the political stakes of this shift when he argued that “Europe has to come out of the notion that Europe’s problems are the world’s problems” — a sentiment that resonates equally with the frustration of developing economies long subjected to payment architectures designed without their input.

The “making of global policies” lens, however, would caution against reading too much into these structural shifts. Pouliot and Thérien remind us that sovereignty remains plastic: it can be invoked to justify both the maintenance of dollar hegemony and the assertion of monetary independence by emerging economies (Pouliot & Thérien, 2023, p. 181). The BRICS payment initiative, for instance, is less a coherent governance reform than a coalition of states seeking to reduce their vulnerability to sanctions — a motivation as much about national interest as about global justice. The methodological implication is significant: to study governance change through practices, one must go beyond formal announcements and observe what actually happens in negotiating rooms, technical committees, and bilateral deals. It is here that the real architecture of cross-border payment governance is built and contested.

Toward Fairer Payment Governance

Neither framework alone is sufficient to diagnose what ails cross-border payment governance — or to prescribe what might be done. But together, they point toward a clear diagnosis. The current system is not simply inefficient; it is structurally unjust. Institutions like the BIS, for all their technocratic independence, are not immune to the gravitational pull of their most powerful shareholders. The observation that any international institution must remain in the good books of dominant economies to survive is empirically accurate — but it should be a starting point for reform, not an excuse for inaction.

What good cross-border payment governance would look like, in practice, is a system in which every state — regardless of its economic weight — has a genuine platform to voice its concerns, and in which decisions that affect the global monetary system cannot be taken unilaterally by any single power. The challenge is not utopian: it is institutional design. The costs of opting out of a reformed multilateral payment system must be made prohibitively high, and the benefits of participation must be distributed equitably. This is, admittedly, a distant prospect. But both the conceptual toolkit of Dingwerth and Pattberg and the empirical lens of Pouliot

and Thérien suggest that change in global governance, however incremental, is possible — provided we are honest about where power actually resides.

References

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- Pouliot, V., & Thérien, J.-P. (2023). *Global governance as a political process: Making policies at the United Nations*. Cambridge University Press.